Letter

Letter: Danger of inflation grows the longer the Fed tiptoes

From Paul Mortimer-Lee, Purchase, NY, US

Fed chair Jay Powell © Saul Loeb/AFP/Getty

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The first line of the FT editorial "Monetary policy in uncertain times" (FT View, March 19) starkly reveals its lack of understanding of monetary policy and central bank communication.

The editorial reads: "For something so long discussed and anticipated the Federal Reserve's quarter-point rate rise, the first since 2018, caused remarkably little stir when it finally arrived on Wednesday."

But it was precisely because it had been so well discussed that it was anticipated and already priced into the markets. The Fed, eager to avoid a repeat of the taper tantrum of 2013, these days ensures that its policy meetings are but the rubber stamp on intentions already well flagged to the markets. Not to do so not only risks market catharsis but also the opprobrium heaped on governor Andrew Bailey when the Bank of England unexpectedly raised rates in December 2021.

The editorial goes on to argue that moderation in monetary tightening is justified, at least during wartime. Such was the strategy of the Fed in the late sixties when the Vietnam war was in full swing, and the early 1970s. That ended well on the inflation front did it not? The case against moderation is that the real effective federal funds rate is by a substantial distance now more negative than at any time before.

The longer the Fed tiptoes around moving rates to a sustainable level the more entrenched inflation and inflation expectations will be and so ultimately the higher will be the output cost of getting inflation back down again.

A “hike” in time saves nine.

Paul Mortimer-Lee

Purchase, NY, US